

yields turns out to be only that, a promise and not a certainty.

Trine, at the age of nineteen, chose to drop out of college. She had only finished her first year in a computer science program but already the offers were coming in. She felt she could not pass up the promise of riches and stock options for a diploma. Trine figured that if she waited three more years to get her diploma, she might miss out on some of the opportunities that were available right now. The current job market was robust, but it could stall by the time she graduated. Her parents were upset, but Trine would not listen to their pleas to stay in school.

After only one year of working for an Internet start-up, Trine felt vindicated that she had made the right decision. A huge corporation bought her company and its stock price rose sharply. Trine decided to cash in her stock options and retire at the age of twenty. She figured that with \$500,000 in the bank, she would never have to work again.

Her original contentment with her nest egg slowly led to discontent. Having access to all this money caused Trine to become greedy. She wanted more. Besides, she had always been told that you need to have money to make money. She now had money and she planned to use it to make much more.

She had become fascinated by stories she heard of people becoming millionaires from investing in private equity opportunities and hedge funds that skyrocketed in value. She figured that she could invest her nest egg in a fund of this type and reap the same rewards without having to work. Now that she had retired, she had lots of free time, so exploring this new opportunity seemed like the next natural step.

After much research online, Trine decided to invest in a private equity fund that was trying to turn around an unprofitable airline. Private equity funds usually target struggling companies and then install new management to try and make them profitable. These funds usually have substantial entry

